Business Administration - Graduate Level Assessment 21 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. A 39.90*radiocanbepurchasedontheinstallmentplanfor*5.00 down and $3.10 a month for a year. What is the annual interest rate for this installment purchase?
   (a) 14%
   (b) 17.5%
   (c) 10%
   (d) 15%
   (e) 19.8%

2. Jefferson's Clothing has current assets of 150, 000, *currentliabilitiesof*50,000, and capital of $200,000. What is their currentratio?
   (a) 3.5
   (b) 1.5
   (c) 1
   (d) 6
   (e) 5

3. This branding policy requires that all the products use the organization's name, either entirely or in part, e.g. Microsoft, Heinz, and Kellogg's
   (a) Corporate brands.
   (b) Manufacturer brand.
   (c) Sub-branding.
   (d) Family branding.
   (e) Mixed branding.

4. If a preferred share of stock pays dividends of $1.90 per year, and the required rate of return for the stock is 9%, then what is its intrinsic value?
   (a) 19.00
   (b) 20.35
   (c) 25.40
   (d) 23.50
   (e) 24.75

5. Once referred to as a multibrand policy, this branding strategy requires that each product offered by an organization is branded independently of all the others. This is known as:
   (a) Multi-product branding.
   (b) Sub-branding.
   (c) Mixed branding.
   (d) Family branding.
   (e) Corporate brands.

True / False (10 marks)

Answer True or False

6. True or False: The cost per thousand for a full-page ad in Punk Magazine is $15, which is calculated from their advertising rates.
7. True or False: Sales pricing prioritizes the cost of production over customer preferences in determining the final price of a product.
8. True or False: Carroll's framework for corporate social responsibility includes Political, Legal, Ethical, and Environmental categories.
9. True or False: Companies prioritize social accounting primarily for customer satisfaction, focusing less on stakeholder management and accountability.
10. True or False: The price-to-earnings (P/E) ratio for Company A is calculated as 20.0, indicating an overvalued stock.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Calculate the proceeds from a 90-day sight draft of $425 accepted by Florsheim and Co. on October 10, considering a 5% discount and a 1/3% collection fee. Explain your calculations.
12. Calculate Pauline Key's gross earnings for a week in which she worked 48 hours during the regular week and 4.5 hours on Sunday, considering her hourly wage and overtime rates. Discuss your approach.

End of Paper